STEP 3: Identifying and Developing Alternative Solution for the Problem

Majority of problems will have alternatives. A course of action does not become the best merely because it has been in use for a long time. Hence, the sound decision necessitates the consideration of all alternatives. In an organisation there will be some factors that stand in the way of accomplishing a desired objective. This is called limiting factor. So a manager should recognize these limiting factors so that he can develop many alternatives which can be used to overcome the limited factors.

STEP 4: Evaluating the Alternatives

After having developed the appropriate alternatives, the next step is evaluating them so as to choose the best one. Every alternative will have a merit and a de-merit. So the manager want to evaluate (assign weights) to the most suitable alternative. This can did by comparing the alternatives with each other. While evaluating three factors should be considered. (a) Quantitative factors- Factors which can be measured (e.g) fixed cost such as building rent, Labour wages etc (b) Qualitative factors – Intangible factors which cannot be measured such as loss of reputation and goodwill (c) Cost Benefit analysis- finding the least costly way of reaching an objective or getting the greatest benefit out of less expenditure.

STEP 5: Selecting and Deciding the Best Course of Action

After the evaluation of various alternatives the next step is deciding the best alternative. The manager should take in to account the economy, risk factors, the limitation of resources, and feasibility of its implementation etc, at the time of deciding the best course of action. Selecting the best course by a manager will by his past experience in a similar problem, experimenting by applying the alternative to some other problem and he may arrive by doing some research on the problem.

STEP 6: Implementing the Decision

After the best course of action or alternative option is decided the next step is to implement that to the situation and the same should be communicated to all the team subordinates.

STEP 7: Review and Follow Up of the Decisions

The action implemented must be evaluated by comparing the actual results arrived with the expected results. Any deviations must be noticed and corrective action should be taken. Certain alteration or modification in the decision can be made accordingly.



In 1991 the LPG policy adopted by Govt. of India is the biggest decision movie. Liberalization Privatization Globalization (LPG). The economy of India had undergone significant policy shifts in the beginning of the 1990s. This new model of economic reform is commonly known as the LPG or Liberalization, Privatization and Globalization model.

4.8 Types of Managerial Decision

1. **Routine and Strategic Decisions:** **Tactical or routine** decisions are made repetitively following certain established rules, procedures and policies. They neither require

XII OSS_English version CHAPTER 04.indd 52 1/7/2020 5:50:11 PM